Debt

Is a crisis coming?
Is it already here?

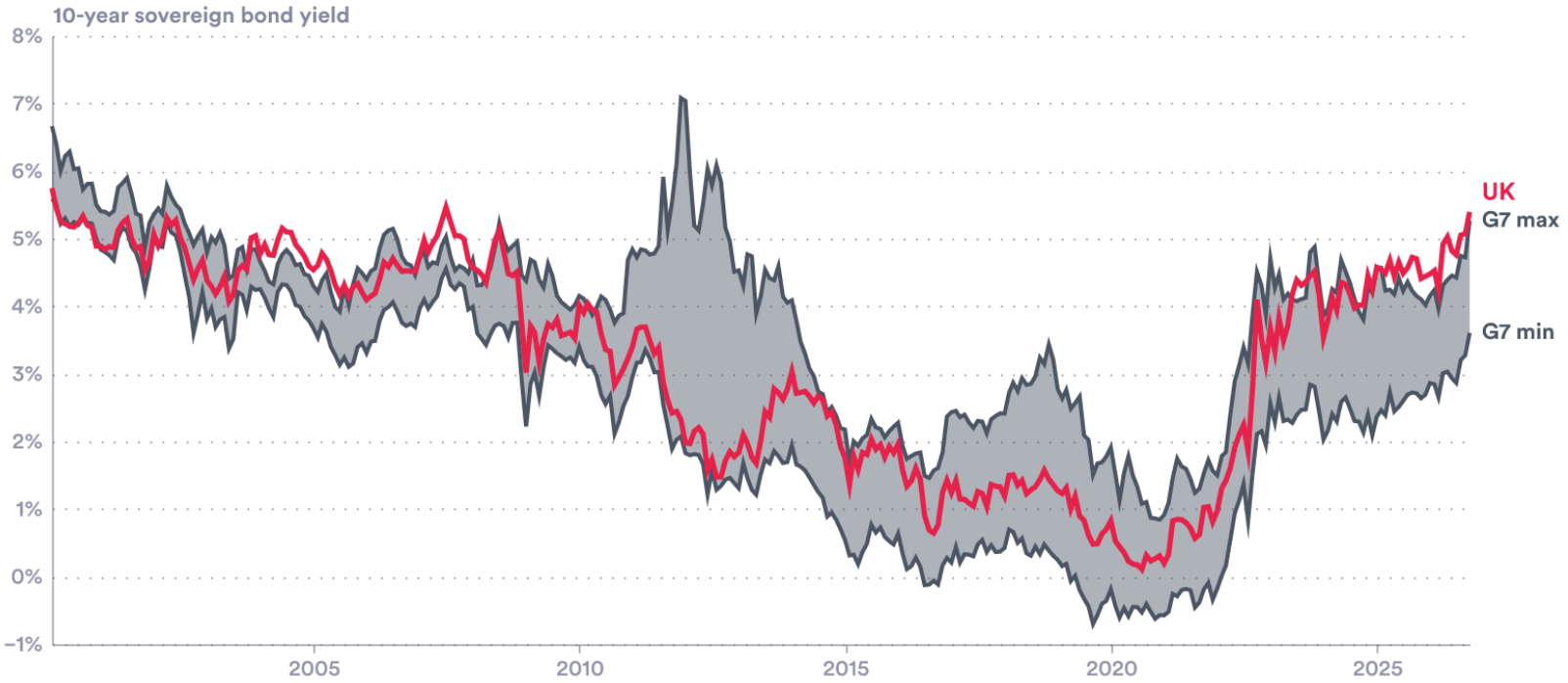
LSE THE LONDON SCHOOL OF ECONOMICS AND POLITICAL SCIENCE

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Debt: rising yields

The UK has been singled out by the bond market. Why?

After a decade of near record lows, the 10-year gilt yield has risen to its highest level since 2000. UK borrowing costs are the highest in the G7, after a sustained period of being middle of the pack.

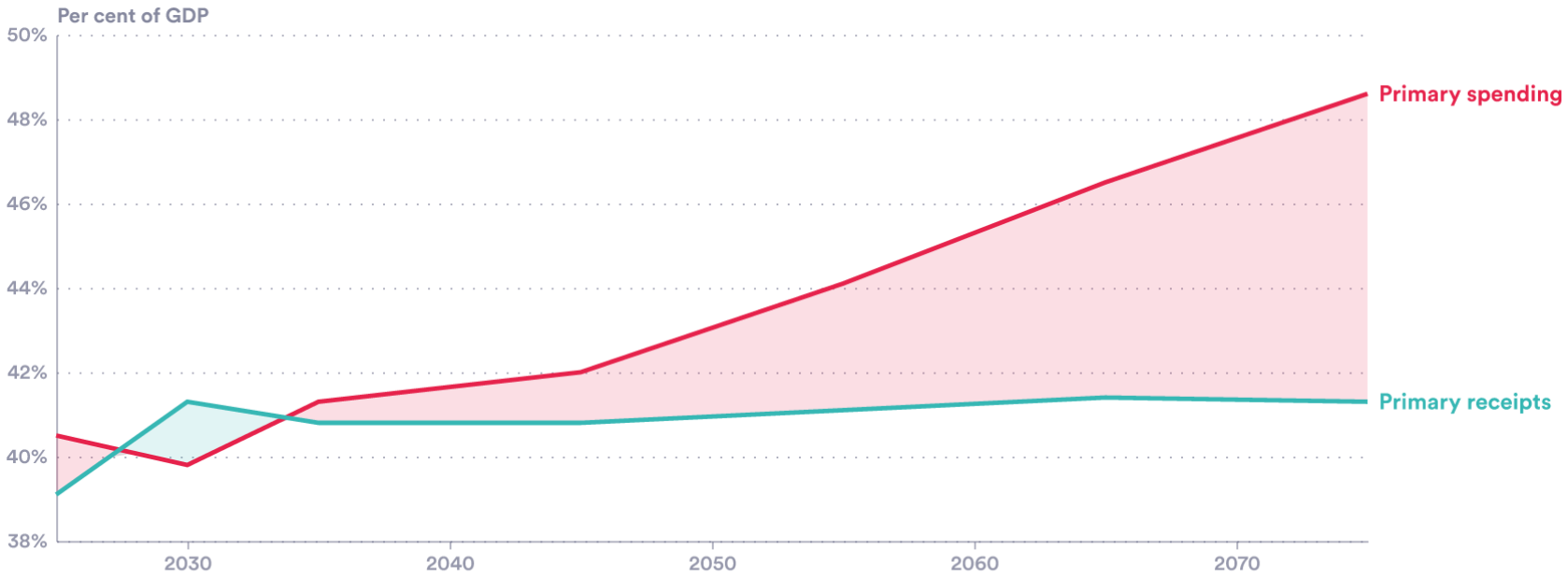


Source: LSEG
Note: UK 10-year yield against the range of other G7 yields, % Monthly, 2008-2026.

An increasing deficit

Spending climbs with an ageing population but revenue stays flat

The UK is expected to run large deficits as spending pulls away from receipts as fewer people are in work and more are reliant on the state.

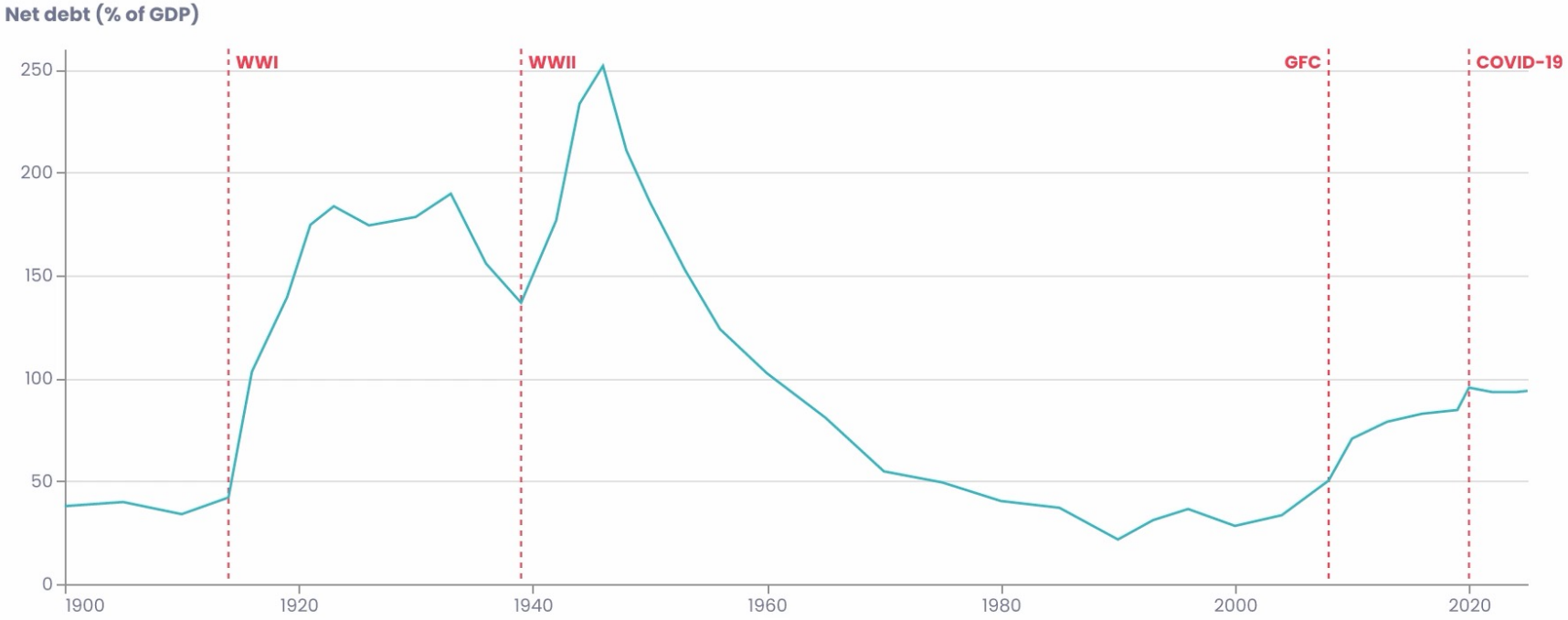


Source: OBR, July 2026 Fiscal Risks and Sustainability report
Note: Projected UK primary spending and receipts, % of GDP, on unchanged policy

Where are we heading?

On unchanged policy, debt climbs past 300% of GDP—and far higher if shocks continue

On current policy and demographic trends, the OBR projects no reversal in public sector net debt this century. An ageing population is expected to drive it upward to record highs.

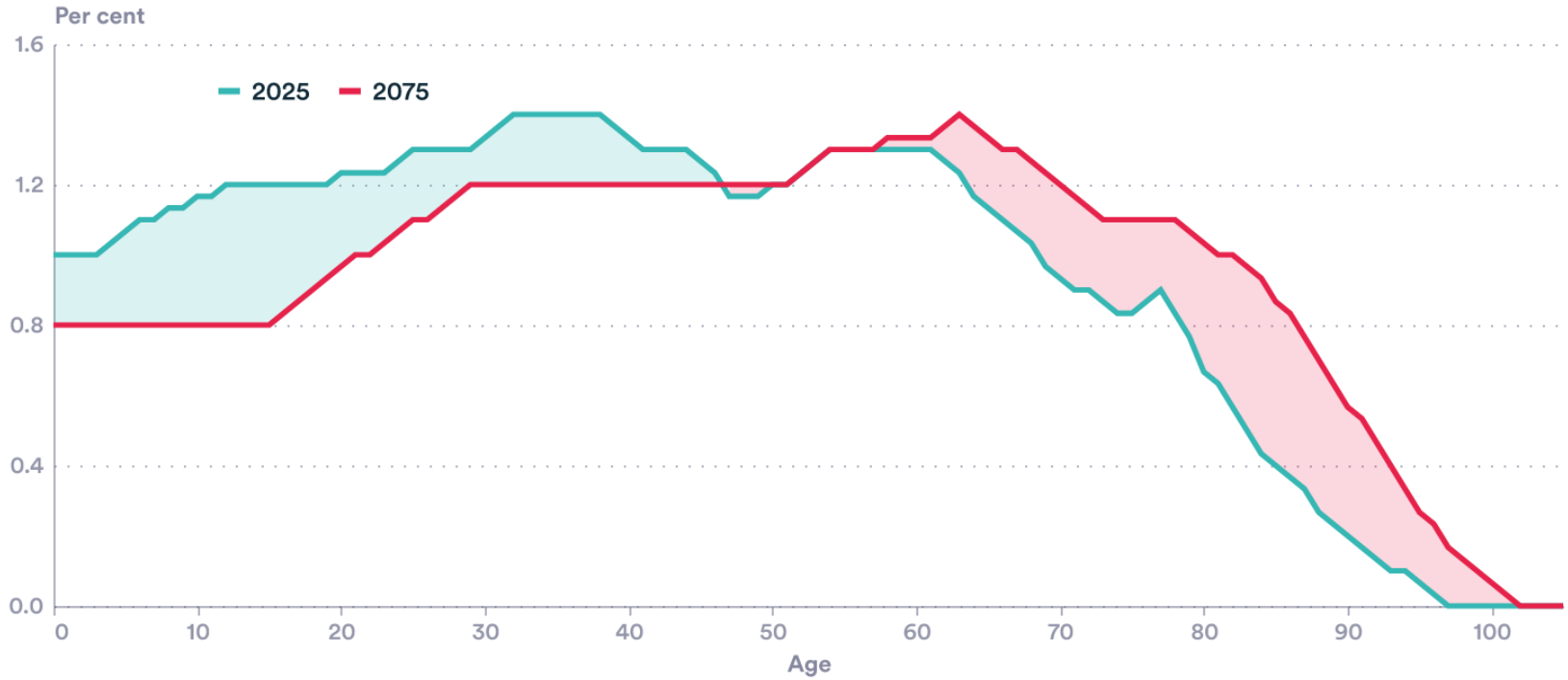


Source: ONS/OBR (July 2026 Fiscal Risks and Sustainability report)
Public sector net debt, % of GDP. Teal = baseline. Navy = worst case.

Demographics

The UK is ageing rapidly

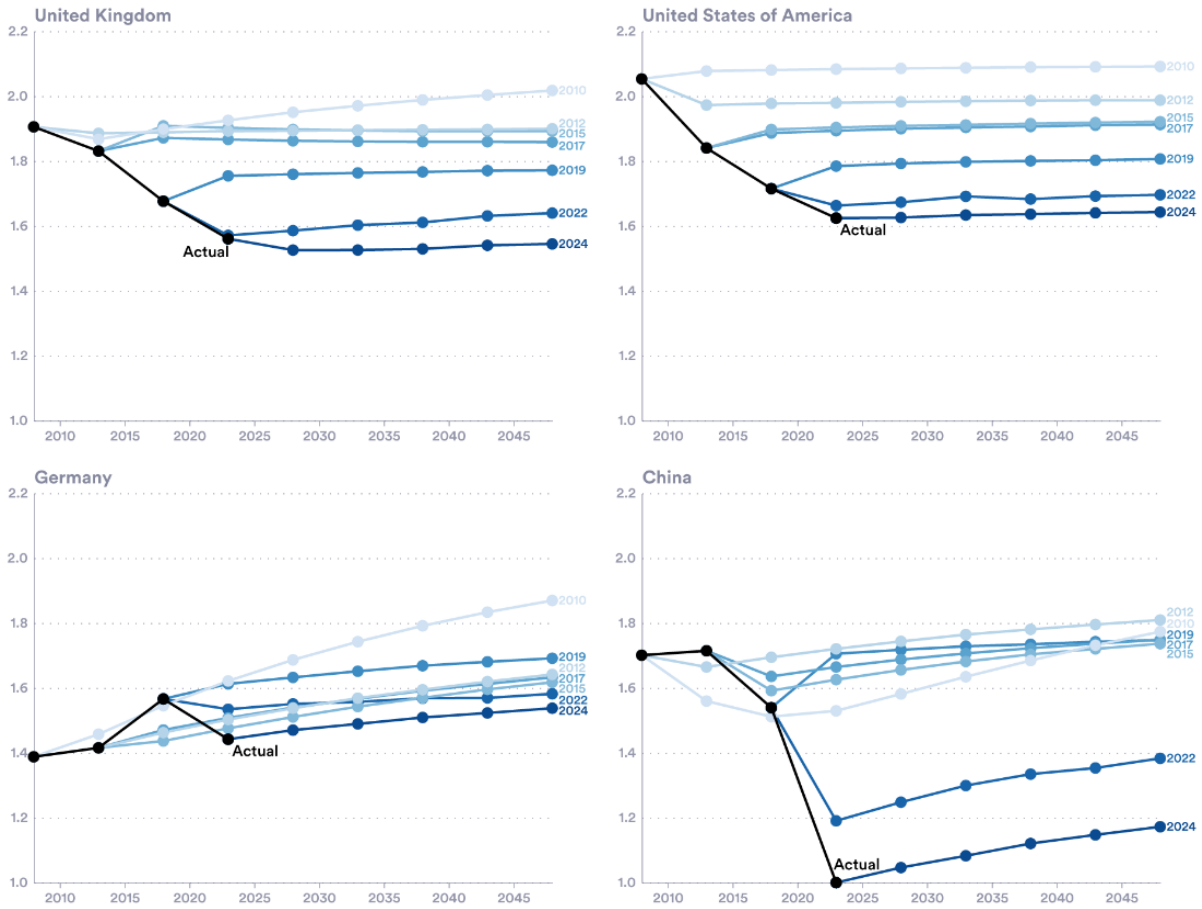
By 2049, there will be five million more pensioners than children.
By 2075, the UK's population will have been shrinking for two decades.



Source: ONS/OBR
Note: Population share by single year of age, % of UK, 2025 vs 2075 projection
Teal = fewer people at the age by 2075; red = more

Demographics

Birth rates are falling faster than expected



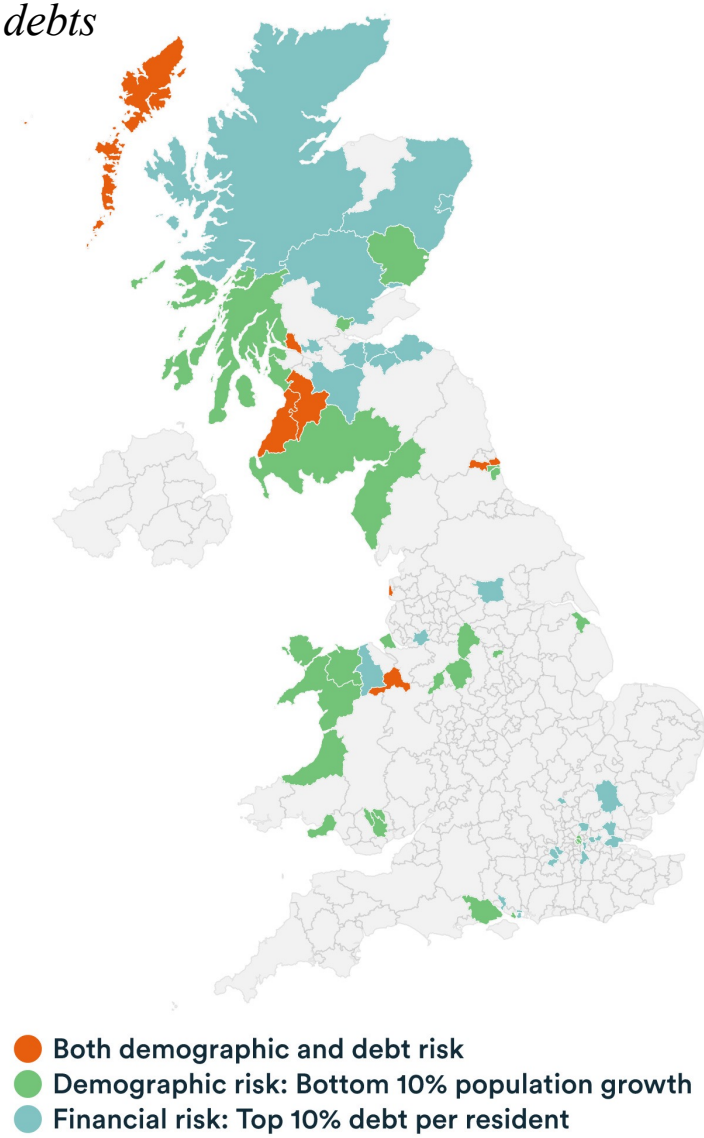
Actual and projected fertility rates. Source: United Nations, World Population Prospects (2010, 2012, 2015, 2017, 2019, 2022, 2024)

Local debt and demographics

Low birth rates suggest a reduced ability to pay back future debts

Local authorities with both high debt and low population growth are the most exposed to financial pressures.

This affects UK regions unevenly.



Jersey

Demographic trends on Jersey

https://stats.je/statistic/population/

